

Project Initialization and Planning Phase

Date	15 July 2026
Project Name	Smart Lender – AI Powered Loan Approval Prediction System
Maximum Marks	3 Marks

Define Problem Statements (Customer Problem Statement Template):

Loan approval in many banks is a slow and manual process, leading to delays and inconsistent decisions. Applicants often face uncertainty while waiting for approval. **Smart Lender** uses Artificial Intelligence and Machine Learning to predict loan eligibility based on applicant details. The system provides fast, accurate, and reliable loan approval predictions, improving efficiency and customer satisfaction

Example:

I am	<i>narrow description of whom we are solving for</i>	A loan applicant seeking financial assistance.
I am trying to	<i>desired outcome (not output)</i>	Apply for a loan and receive quick approval.
but	<i>description of the barrier/problem or what is blocking</i>	The approval process is slow and requires extensive manual verification.
because	<i>root cause</i>	Banks evaluate multiple factors such as income, employment status, credit history, and loan amount before making a decision.
which makes me feel	<i>emotion</i>	Uncertain and anxious about whether my loan will be approved.

Problem Statement (PS)	I am (Customer)	I'm trying to	But	Because	Which makes me feel
PS-1	A loan applicant seeking	Apply for a loan and receive	The approval process is slow and requires	Banks evaluate multiple factors such as income, employment status,	Uncertain and anxious about whether my loan